

The **Twilight** of Emalahleni

The Real Economic Story Behind South Africa's Coal Capital

Running Out of Coal

3,858 Mt

COAL LEFT IN THE GROUND

20.7 Yrs

TIME UNTIL EXHAUSTION

The Math is Simple

We have roughly 3.8 billion tonnes of coal left to mine in this region. Because we are currently digging up over 186 million tonnes a year, the region will completely run out of coal in about two decades.

However, long before the land is empty, the money and the jobs are going to disappear. The economic collapse is arriving much sooner than the geological one.

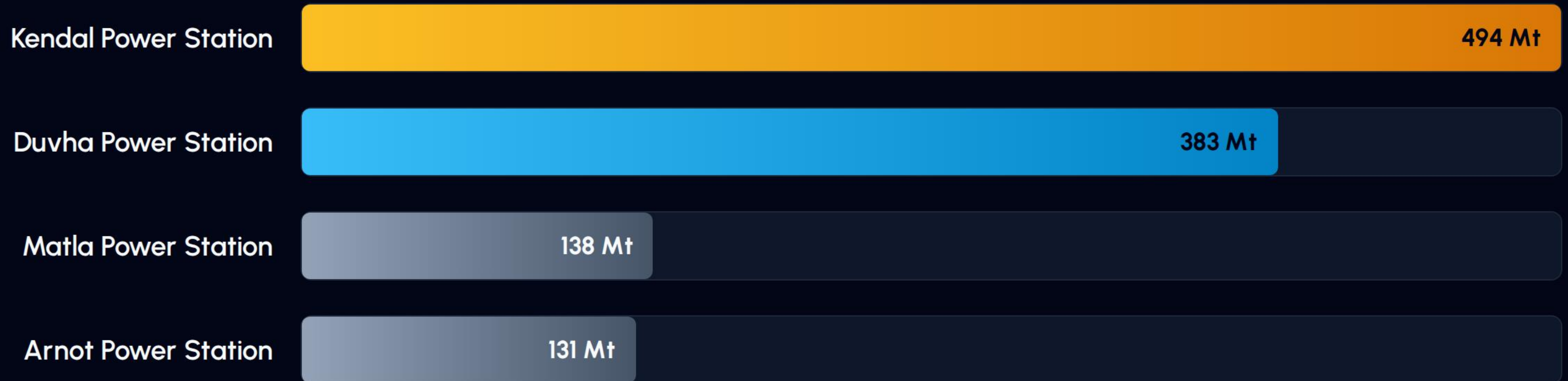
The Local Trap

Eskom is shutting down several old power stations by 2030 to meet environmental goals. Mines that rely exclusively on selling coal to these specific stations (like Arnot and Kriel) will suddenly have no buyers.

If a mine has no local buyer, it needs to find a new route to sell its coal. But banks are refusing to loan money to coal mines, meaning these operations can't afford to build the infrastructure needed to change direction.



Coal With Nowhere To Go



Duvha Power Station has 383 million tonnes of coal sitting right next to it. But because the power station will close decades before that coal runs out, that coal is essentially useless. It is trapped wealth that can never be sold.

The Bank Funding Freeze

CONSUMER	BANK FUNDING CUTOFF	THE REASON	EXTRA INTEREST RATE PENALTY
Arnot Power Station	2026	Banks banned new shaft funding	+6% Interest Penalty
Kriel Power Station	2030	Banks demand zero exposure	+6% Interest Penalty
Sasol Synfuels	2028	Massive Carbon Tax Traps	+8% Interest Penalty
Richards Bay Export	2045	Slower phase-out targets	+2.5% Interest Penalty
Kendal Power Station	2035	General loan shrinkage	+2% Interest Penalty

The Export Traffic Jam

If mines can't sell to Eskom, their only hope is to export to other countries through Richards Bay. But there is a massive problem: Transnet's trains cannot handle the volume.

Because there aren't enough trains, mines are forced to use expensive trucks, which destroys their profits.

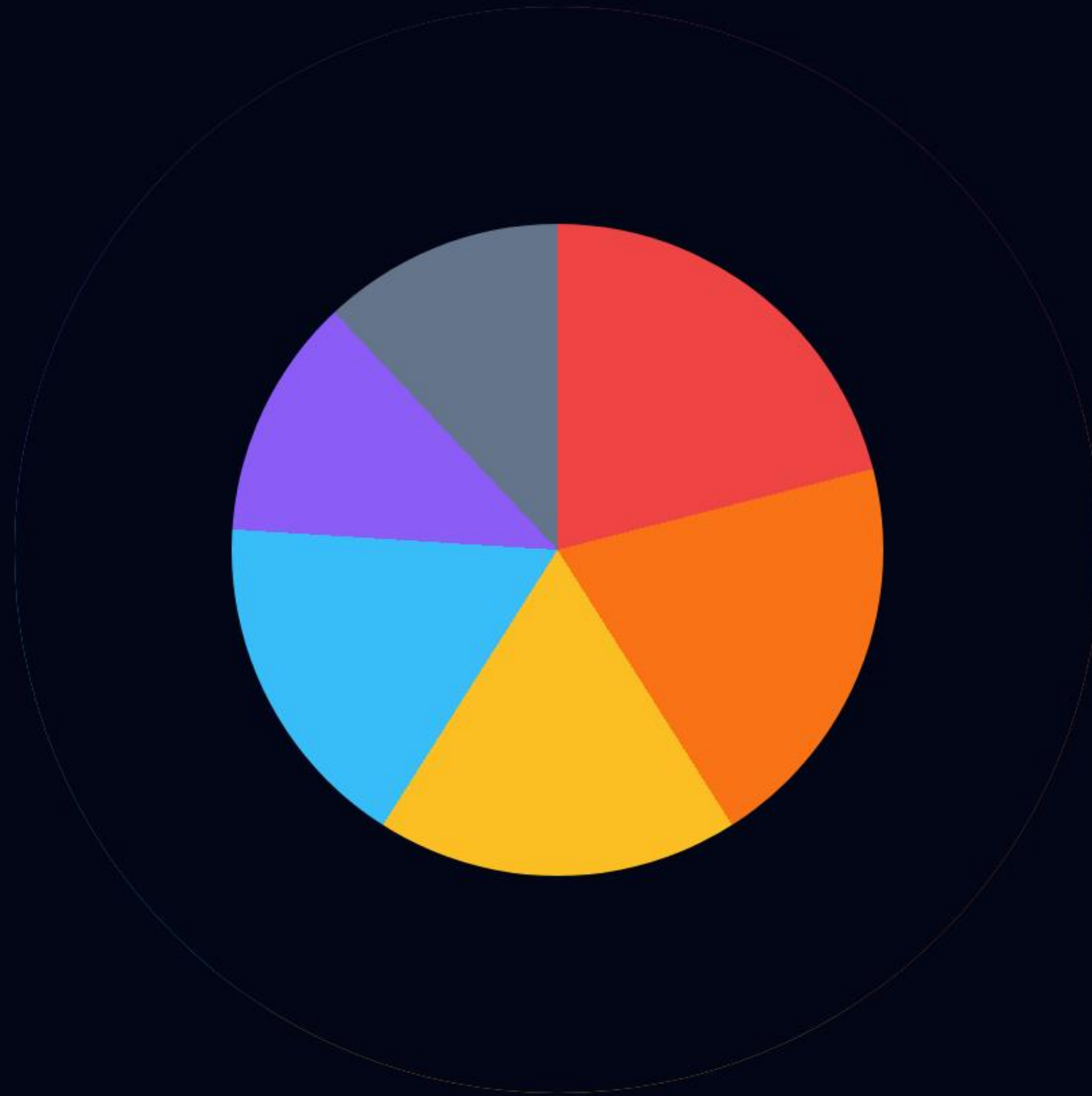
Even with high global demand for coal, the product simply struggles to leave the region.

The Squeeze: Where Does The Coal Go?



This flow illustrates how billions of tonnes of coal reserves are forced through narrow commercial corridors, resulting in either trapped assets or logistics bottlenecks.

The Impact on Jobs



- Sasol Synfuels (21%)
- Richards Bay Terminal (20%)
- Kendal Power Station (18%)
- Eskom General (17%)
- Arnot Power Station (12%)
- Matla Power Station (12%)

Over 40,000 workers are directly employed by these mines. The job losses won't happen 20 years from now when the coal runs out—they will hit in harsh waves over the next 5 to 10 years as the power stations they supply shut down.

Image Sources



<https://www.kupi.com/kland-storage/images/670x0/30x30/cities/in/ramagundam/4e29c63c-40a8-4a45-a408-f3f4349b3747.webp>

Source: www.kupi.com



https://upload.wikimedia.org/wikipedia/commons/f/f3/Staten_Island_Railway_R211S_at_Jefferson_Av_Station.jpg

Source: en.wikipedia.org